

MIDTERM EXAM STUDY GUIDE

ECON 2010 – Macroeconomics

Spring 2019

The final exam will be similar to the problem sets in style and organization. There will be two problems, each with multiple parts. You will *not* need to do calculations on the final exam, but you can use one if you feel like it. (This should tell you something already about what to study and what not to study!) The questions draw heavily from the second half of class, but a few draw on material from the first half of class.

The first problem of the final exam will be true/false questions plus explanation. The explanation of *why* the statement is true or false is worth the majority of the points. Draw on what you've learned *in class* to explain. There is no need – and in fact you are likely to be wrong! – if you draw on material beyond class to answer the questions. Use precise economic terms correctly when offering explanations. Show what you know! Don't simply restate the statement in different words. To explain, you need to give reasons that show the underlying logic of why the statement is true or false.

Example statement: “If only people were more self-sufficient in terms of producing all of their needs, the economy could produce far more than it does when people only know how to do one simple thing.”

Answer: False. Specialization generates more output than when people do not specialize. This is because lower opportunity costs in producing one good relative to another give some people a comparative advantage in producing a given good. When everyone specializes in producing the good in which they have a comparative advantage, total output grows. In order for people to reap the gains of specialization, however, they need to be able to trade with others.

The second question on the final exam will be similar to questions on the problem set. It will walk you through a policy-related question in multiple parts. In style it will be similar to the question about contracts and unemployment from the midterm.

The following are questions about things that we've learned thus far in class that I think that you should be able to answer. These are *not* the questions or type of questions that will be on the exam. But they are questions that can help guide your studying. Which questions can you answer easily? Which seem more challenging? You may want to target your studying to those questions that you cannot easily answer.

Inflation and Prices

What is the CPI? What does it mean to have a base year? What is inflation? How would you use the CPI to convert prices between different years? What does it mean to compare prices between years? Why do we care about inflation?

Aggregate Demand

Who demands output? How does AD relate to the equation $GDP = C + I + G + NX$? How does the AD relate to price levels? What do we mean by price levels? What is contained in price levels? What is the shape of the AD curve? Why is it downward sloping? How does its shape relate to the distinction between wealth and income? What is a movement along the AD curve? What could shift the AD curve?

Aggregate Supply – Short and Long Run

Who supplies output? What is the difference conceptually between the short and the long run? What is the shape of the short run aggregate supply curve? Why does it have that shape? How do you draw the curve relative to long run aggregate supply? How do you draw it relative to the idea of maximal output? Can you distinguish between things that represent movement along the SRAS curve versus things that cause a shift in the curve?

What is the shape of the long run aggregate supply curve? Why does it have this shape? What does it mean to move along the LRAS versus shift it? Can you list the specific things that shift the LRAS? How does the LRAS relate to potential output? What about to the natural rate of unemployment? What about to full employment? Where is the LRAS relative to the idea of maximal output?

The Model of AD-AS

Where is the long run equilibrium in the model of AD-AS – i.e. which curves crossing? Where is a short run equilibrium in the model – i.e. which curves crossing? What does it mean for the economy to be in equilibrium – or, what does the principle of equilibrium mean? How does the AD-AS model help us to understand periods of recession and periods of expansion? How do expansionary and recessionary periods relate to long run economic growth? Could you “see” a recession on the model? Could you “see” an expansion?

Fiscal Policy

What comprises fiscal policy? What part(s) of government controls fiscal policy? What is discretionary spending? What about non-discretionary spending? What is a deficit? What can the government do if it runs a deficit? How does government spending relate to our equation $GDP = C + I + G + NX$? Does government demand goods, services or both? How do changes in

government fiscal policy affect aggregate demand and/or supply? What is the fiscal multiplier? What is the marginal propensity to consume?

Money

What is money according to economists? Why is money valuable? What is the price of money? Who demands money and why? What does it mean that there is an opportunity cost of holding money? Who supplies money? What are the shape of the curves in the money market? Why do they have those shapes? What comprises an equilibrium in the market for money?

Monetary Policy

What comprises monetary policy? Who/what part of government controls monetary policy? What decisions shift the money supply curve right and left? How do banks create money? What are banks' liabilities? What are banks' assets? What role does the reserve ratio play in banks' operations? What role does the overnight discount rate play in banks operations?